ALJ/JRO/asf **PROPOSED DECISION** **Agenda ID #23289**
Ratesetting

Decision __________

BEFORE THE PUBLIC UTILITIES COMMISSION OF THE STATE OF CALIFORNIA

Joint application of Central Valley Gas Storage, L.L.C., Caliche Development Partners II, LLC and Caliche Development Partners III, LLC for approval of transfer of control of Central Valley Gas Storage, L.L.C. pursuant to section 854 of the California Public Utilities Code and for an order pursuant to sections 829 and 853 of the Public Utilities Code to exempt from commission authorization the encumbrance of the assets of Central Valley Gas Storage, L.L.C. and the issuance of a corporate guaranty and security interest, or in the alternative for authorization under sections 830 and 851	Application 24-10-021

DECISION APPROVING CHANGE IN CONTROL OF CENTRAL VALLEY GAS STORAGE, L.L.C.

Summary

This decision approves the application of Central Valley Gas Storage, L.L.C. , Caliche Development Partners II, LLC, and Caliche Development Partners III, LLC for a change in control of Central Valley Gas Storage from

Caliche Development Partners II, LLC to Caliche Development Partners III, LLC. In addition to approving the change of control, we also exempt the encumbrance of assets and the issuance of a corporate guaranty and securities by Central Valley from Commission pre-approval ("the Present Transactions"). The change of control approved by this decision is exempt from the California Environmental Quality Act.[1]

1. Background

In Decision (D.) 23-08-033, the Commission approved the application of Central Valley Gas Storage, L.L.C. (Central Valley), Southern Company, and Caliche Development Partners II, LLC (Caliche II) for a change in the ultimate ownership and control of Central Valley from Southern Company to Caliche II. In addition to approving the proposed transfer, we concluded that the change of control and debt financing transactions underlying the transaction were exempt from the California Environmental Quality Act (CEQA). We also found that the debt financing structure of the transaction was exempt from the pre-approval requirements of Public Utilities Code sections 816-830, and 851 pursuant to Public Utility Code sections 829, subdivision (c), and section 853, subdivision (b). Accordingly, no additional environmental review was required.

1.1. Procedural Background

On October 29, 2024, Central Valley, Caliche II, and Caliche Development Partners III, LLC (Caliche III) (collectively Joint Applicants) filed the instant application seeking approval of a change in ultimate ownership of Central Valley

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[1] Public Resources Code §§ 21000, *et seq*.

from Caliche II to Caliche III. As part of the transactions, Joint Applicants seek Commission approval of the issuance of a corporate guaranty and security interest by Central Valley pursuant to Public Utilities Code section 830 and authorization of the encumbrance of Central Valley's assets pursuant to Public Utilities Code section 851 to secure the debt financing of Caliche III. (Each of these transactions is collectively referred to as the Transactions.) Joint Applicants also request that we find that the proposed transfer of control is exempt under CEQA.

A prehearing conference was held on December 23, 2024. On December 30, 2024, the assigned commissioner issued a scoping ruling setting the issues to be determined in this proceeding.

1.2. Parties to the Transactions

- Central Valley

Central Valley is a Delaware limited liability company with licenses to do business in California. Its principal place of business is Houston, Texas, with California offices in Princeton and Fairfield. Central Valley is a subsidiary of Caliche II. Central Valley owns and operates a 11 billion cubic-foot natural gas storage field with the Princeton Gas Field and a natural gas pipeline extending approximately 14.7 miles from the storage to an interconnection with its metering station and Pacific Gas and Electric Company's Line 401 gas transmission pipeline.

- Caliche II

Caliche II is an acquisition and development company based in Houston, Texas. Caliche II is owned 100% by CDP II Holdings, LLC and is its only direct subsidiary.

- CDP II Holdings, LLC

CDP II Holdings, LLC is the holding company owner of Caliche II. Caliche Management II, LLC owns 100% of the common equity interests in CDP II Holdings, LLC along with the right to appoint the board of directors and manage day-to-day operations. Texas Direct Infrastructure Program, L.P. and Orion Infrastructure Capital own 100% of the preferred equity interests in CDP II Holdings, LLC through various investment fund vehicles.

- Caliche Management II, LLC

Caliche Management II, LLC, controls the day-to-day management of Caliche II and its subsidiary, Central Valley. The management team of Caliche Management II, LLC has remained in place since the 2023 transfer of ownership approved in D.23-08-033. The management team is now employed by Caliche III.

- Caliche III

CDP III Holdings, LLC, owns 100% of Caliche III. Caliche III has purchased the other assets of Caliche II. The Present Transactions would complete Caliche III's acquisition of Caliche II's assets.

- CPD III Holdings, LLC

CDP III Holdings, LLC is the holding company owner of Caliche. Mallard Evergreen Holdings, LLC is a special purpose vehicle whose only subsidiary is CPD Holdings III, LLC. Mallard Evergreen Holdings and Caliche Management III, LLC will own the equity interests in CDP III Holdings upon the close of the

Transactions, with Mallard Evergreen Holdings retaining the right to appoint a majority of the board of managers of CDP III Holdings.

- Caliche Management III, LLC

Caliche Management III is an entity that is owned by the owners of Caliche Management II. These individuals are currently employed by Caliche III, with two participating on the board of Caliche III. Mallard Evergreen Holdings has the right to appoint three members of the Caliche III board. Caliche Management III leads day-to-day operations of Caliche III and its subsidiaries, including Central Valley upon consummation of the Transactions.

- Mallard Evergreen Holdings and Sixth Street

Mallard Evergreen Holdings is owned 100% by Sixth Street TAO Partners, L.P. and its affiliated parallel investment vehicles, collectively referred to as the Sixth Street Fund. Sixth Street Fund is owned by various passive limited partners, none of which are a California utility. Sixth Street Fund is one of several investment funds that comprise Sixth Street, a global investment management firm focused on supporting businesses with long-term and flexible capital. Sixth Street was founded in 2009 and has approximately $80 billion in assets under management.

1.3. Description of the Present Transactions

Caliche II and Caliche III have entered into a Membership Interest Purchase Agreement. Caliche II will sell the issued and outstanding membership interests of Central Valley to Caliche III. The transactions will not result in any change in operations. Central Valley will continue to comply with all terms and conditions set forth by the Commission in D.10-10-001 when Central Valley was granted its CPCN and Mitigated Negative Declaration.

The acquisition of Central Valley will be funded new debt and equity capital. Sixth Street Fund will provide the equity. The debt will be drawn by Caliche III under a new senior, secured term credit facility provided by a lender group. [2] The credit facility provides term loans to fund the acquisition of Central Valley and other assets of Caliche II, a loan to fund expansion of those other assets, a debt service reserve letter of credit facility, and a revolving working capital facility. When necessary, pursuant to the terms of the contract between Caliche III and MUFG Bank Ltd providing additional credit facility, the former will enter into secured interest rate hedging transactions. Caliche III has already drawn from that facility to finance the purchase of Caliche II's other assets and will utilize the facility to finance the acquisition of Central Valley upon Commission approval.

Central Valley will not have any debt at the conclusion of the acquisition by Caliche III. Caliche III will incur all debt. The Transactions involve upstream management and the financing structure, resulting in no changes in rates or terms and conditions of service. The current management team of Caliche II will serve as the management team of Caliche III. Current Central Valley staff will remain in place.

Central Valley will remain subject to the terms and conditions governing its operations, including regulatory and safety compliance and environment

[2] The lender group is made up of MUFG Bank, Ltd. and other financial institutions.

permits and regulations after the transaction. All terms and conditions imposed by the CPCN in D.10-10-001 will remain effective and unaltered by the Transactions.

1.4. Submission Date

This matter was submitted on December 30, 2024, upon the issuance of the Assigned Commissioner's Scoping Memo and Ruling.

2. Issues Before the Commission

1. Should the Commission approve the transfer of ownership of Central Valley from Caliche II to Caliche III pursuant to Public Utilities Code section 854, subdivision (a)?
2. Should the Commission approve the encumbrance of the assets of Central Valley and the issuance of a related corporate guaranty and security interest as either exempt from Commission authorization pursuant to Public Utilities Code sections 839 and 853 or, in the alternative, authorized by Public Utilities Code sections 830 and 851?
3. Is the proposed transfer of ownership of Central Valley exempt from the provisions of CEQA?

3. Transfer of Control of Central Valley Gas Storage

Pub. Util. Code Section 854(a) requires Commission authorization before a company may "merge, acquire, or control either directly or indirectly any public utility organized and doing business in this state." The Commission has broad discretion to determine whether a particular transaction is in the public interest and should be approved under Section 854(a). In keeping with past decisions interpreting Section 854(a), the appropriate standard to determine whether we should approve the transfer of ownership of Central Valley is whether the transaction is "adverse to the public interest."[3] In approving the transfer of Central Valley from AGIR to Southern in D.16-03-007 and from Southern to Caliche II in D.23-08-033,[4] we applied that standard, noting that while we have on occasion also inquired whether a transfer will provide positive ratepayer benefits, this additional assessment cannot be applied readily to an entity like Central Valley, which is not a traditional investor-owned public utility with captive ratepayers.

The proposed transfer of ownership is not adverse to the public interest. Central Valley remains an independent natural gas storage facility without captive ratepayers. The transfer results in no changes to Central Valley's operations, services, or rate, terms and conditions of service. Central Valley remains bound to the terms and conditions of the CPCN issued in D.10-10-001, including the requirement that it maintain liability insurance. Caliche III has committed to, and is bound by, the terms and conditions the CPCN. We further note that Caliche III, its upstream ownership and affiliates, and lenders do not

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[3] *See*, e.g., Decision Approving Ownership Transfer of Lodi Gas Storage L.L.C., D.14-12-013, A.14-09-001 (December 4, 2014); Decision Approving Change in Ownership and Control of Central Valley Gas Storage, LLC, D.11-05-030, A.11-01-021 (May 26, 2011); Opinion Approving Transfer of 100% Interest in Lodi Gas Storage, LLC to Buckeye Gas Storage LLC, D.08-01-018, A.07-07-025 (July 27, 2007); Opinion Approving, With Conditions, Transfer of Control and Related Financing, and Exempting Ancillary Transaction from Public Utilities Code Section 852 Pursuant to Section 583(b), D.06-11-019 at 14, A.06-05-033 (November 9, 2006) (In re Joint Application of Wild Goose Storage Inc., et al.); Opinion Approving Transfer of 50% Interest in Lodi Holdings, LLC, D.05-12-007, A.05-08-031 (December 1, 2005).

[4] Decision Approving Change in Ownership and Control of Central Valley Gas Storage, LLC, D.16-03-007 (March 22, 2016); Decision Approving Change in Control of Central Valley Gas Storage, L.L.C., D.23-08-033.

hold other natural gas storage or pipeline facilities in California or serving the California market, or hold other material equity investments in the natural gas storage, transportation, or marketing industry such that the transfer will alter existing market power in California.

Accordingly, we conclude that the transfer of control of Central Valley from Caliche II to Caliche III is not adverse to the public interest.

4. Encumbrance of the Assets of Central Valley Gas Storage, L.L.C. and Issuance of Corporate Guaranty and Security

In D.23-08-033, we granted Central Valley and Caliche II Central Valley and Caliche III an exemption from the pre-approval requirements of the Public Utilities code applicable to the encumbrance of assets and the issuance of corporate securities. We apply the same test articulated in that decision to the instant request.

Public Utilities code section 830 requires our approval before a regulated entity may assume any obligation or liability on behalf of a parent or affiliate if the term of the obligation exceeds 12 months. Similarly, Public Utilities Code section 851 requires our approval before a utility may encumber its property. Central Valley will become a guarantor and issue a security interest in a credit facility upon acquisition of Caliche III with a term greater than 12 months. Central Valley's guaranty and security interest on behalf of Caliche III is an encumbrance. Accordingly, they are subject to section 830 and 851.

Public Utilities Code sections 829, subdivision (c) and 853, subdivision (b), authorize the Commission to exempt a utility from section 830 and 851 pre-approval if we find that the public interest does not require application of the pre-approval requirement. In the context of independent gas storage providers (IGSP), we have consistently found that where the IGSP is not subject to a cost-of-service rate-of-return regulatory framework, ratepayers bear no risk for the IGSP's investment and operations, and that the IGSP have no market power.[5]

In D.23-08-033, we applied that test to the proposed debt and security structure of Central Valley's acquisition by Caliche II. For purposes of the public interest test, the transactions involved in that acquisition mirror those in the present transaction. Central Valley operates under a market-based rates regime and is not subject to a cost-of-service rate-of-return regulatory framework. Its customers transact with Central Valley voluntarily and have other competitive options. Our authority over Central Valley is primarily one of public and environmental protection. Central Valley remains subject to the terms and conditions of its CPCN. Its operations will not change under the transaction. Accordingly, we find that the public interest does not require application of the pre-approval requirements of sections 830 and 851 and the Transactions are therefore exempted from those requirements.

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[5] *See* Application of Lodi Gas Storage, D.00-12-026 at 7; Application of Lodi Gas Storage, D.04-03-020 at 5; Application of Gill Ranch Storage, D.09-10-035 at 54-56; Application of Central Valley Gas Storage, D.10-10-001 at 41; Application of Wild Goose Storage and Lodi Gas Storage, D.17-10-014; Application of Wild Goose Storage and Lodi Gas Storage, D.18-10-029; Application of Wild Goose Storage and Lodi Gas Storage, D.21-11-020; and Application Central Valley Gas Storage, L.L.C., Southern Company, and Caliche Development Partners II, LLC, D23-08-033.

5. Exemption from CEQA

Under CEQA and Rule 2.4 of the Commission's Rules of Practice and Procedure, the Commission considers the environmental impacts of projects that are subject to our discretionary approval.

There are instances where a change of ownership and/or control may result in a project subject to CEQA review of environmental impacts. (FN def of "project" 14 CA Code of Regs 15378) However, the Present Transactions will not result in any direct or indirect change in the environment. Further, Central Valley will continue to be obligated to operate its storage facility in the manner approved in D.16-03-007 and comply with all environmental conditions imposed in its CPCN.[6]

We conclude that under these circumstances, the Present Transactions are exempt from CEQA pursuant to California Code of Regulations, title 14, section 15061(b)(3) as it can be seen with certainty that the project will have no significant impact upon the environment. Therefore, no further environmental review is necessary here.

6. Summary of Public Comment

Rule 1.18 allows any member of the public to submit written comment in any Commission proceeding using the "Public Comment" tab of the online Docket Card for that proceeding on the Commission's website. Rule 1.18(b) requires that relevant written comment submitted in a proceeding be

[6] *See* Application at p.16-18.

summarized in the final decision issued in that proceeding. No public comments were made on the docket card of the instant application.

7. Confidentiality

Concurrent with the filing of the application, Joint Applicants filed a motion requesting that certain portions of the application be filed under seal. Separate confidential and public versions of the application were filed. The motion for confidential treatment is granted. The confidential version of the application will remain sealed for a period of three years from the date upon which this decision is issued. A party may file a request to extend the period of confidentiality provided the request is filed prior to the expiration date.

8. Procedural Matters

This decision affirms all rulings made by the Administrative Law Judge and assigned Commissioner in this proceeding. All motions not ruled on are deemed denied.

9. Comments on Proposed Decision

This is an uncontested matter in which the decision grants the relief requested. The otherwise applicable 30-day period for public review and comment is waived pursuant to Public Utilities Code section 311, subdivision (g)(2) and the Commission's Rules of Practice and Procedure, Rule 14.6(c)(2).

10. Assignment of Proceeding

Karen Douglas is the assigned Commissioner and Jacob L. Rambo is the assigned Administrative Law Judge in this proceeding.

Findings of Fact

1. Central Valley is a Delaware limited liability company registered to transact business in California. Its principal place of business is Houston, Texas.

2. The Commission issued Central Valley a CPCN in D.10-10-001.
3. Central Valley is a wholly owned subsidiary of Caliche II.
4. Caliche III is an acquisition and development company focused on the underground storage of natural gas and industrial gases, based in Houston, Texas.
5. Central Valley is not subject to cost-of-service, rate-of-return regulation.
6. Central Valley has no rate payers.
7. Central Valley does not possess market power.
8. Upon completion of the Transactions, Central Valley will issue a guaranty of Caliche III's debt and will allow its assets to be encumbered.
9. The Present Transactions will not change Central Valley's day-to-day operations.
10. The transactions have no foreseeable environmental impacts.

Conclusions of Law

1. The Present Transactions should be approved.
2. The transfer of control of Central Valley from Caliche II to Caliche III is not adverse to the public interest.
3. The transfer of control of Central Valley from Caliche II to Caliche III should be approved pursuant to Public Utilities Code section 854, subdivision (a).
4. The debt financing structure of the Transactions is exempt from the pre-approval requirements of Public Utilities Code sections 816-830, and 851 pursuant to Public Utilities Code sections 829, subdivision (c) and 853, subdivision (b).

5. The Present Transactions are exempt from CEQA pursuant to section 15061, subdivision (b)(3) of the CEQA guidelines.

6. The confidential version of the application should be sealed for three years from the date of this decision.

O R D E R

IT IS ORDERED that:

1. The transfer of control of Central Valley Gas Storage, L.L.C., from Caliche Development Partners II, LLC, to Caliche Development Partners III, LLC is approved.

2. The confidential version of the application shall remain sealed for a period of three years. A party may seek to extend that period provided that the request is filed prior to the expiration of the three-year period.

3. Application 24-10-021 is closed.

This order is effective today.

Dated _____, at Sacramento, California